EQUITY RESEARCH — INITIATION OF COVERAGE

SQUARE PHARMACEUTICALS PLC

DSE Ticker: SQURPHARMA | Sector: Pharmaceuticals | Exchange: Dhaka Stock Exchange (DSE)

⬛ INITIATE COVERAGE: **BUY**

12-Month Target Price: BDT 265

Current Market Price (CMP): BDT 219 | Upside Potential: +21.0%

> **Report Date:** November 2026 | **Analyst:** Abu Ishak | **Report Type:** Equity Initiation Note
> **Disclaimer:** *This report is prepared for academic and professional portfolio purposes. All data sourced from Square Pharmaceuticals PLC Annual Reports (FY2024, FY2025), DSE, and public market data. This does not constitute investment advice.*

📊 KEY METRICS AT A GLANCE

Metric	Value
Market Capitalization	BDT ~193.9 Billion
Current Market Price (CMP)	BDT 219.00
12-Month Target Price	BDT 265.00
52-Week Range	BDT 198.00 – BDT 236.00
EPS (FY2025, Basic TTM)	BDT 29.18
P/E Ratio (Trailing)	7.5x
NAV Per Share	BDT 119.35
Dividend (FY2024)	BDT 11.00/share (110% cash)
Dividend Yield	~5.0%
Credit Rating	AAA / ST-1 (CRISL)
Debt Status	Zero Bank Debt (since FY2019)
DSE Market Share	#1 Pharmaceutical Company

1. INVESTMENT THESIS — WHY BUY?

We initiate coverage on **Square Pharmaceuticals PLC (SQURPHARMA)** with a **BUY** recommendation and a 12-month target price of **BDT 265**, representing a **21.0% upside** from the current market price of BDT 219. Our conviction rests on **four structural pillars**:

① **The Undisputed Market Leader with 40+ Years of Dominance** Square has held the **#1 market position in Bangladesh's pharmaceutical industry consecutively since 1985**, commanding approximately **17.3% domestic market share** — more than double its nearest competitor (Incepta at ~12.8%). This entrenched market position provides durable pricing power, distribution scale, and brand equity that is effectively irreplicable by new entrants.

② **Rare Financial Fortress: Debt-Free Since FY2019** In a rising interest rate environment (Bangladesh Bank's benchmark policy rate elevated through 2024–2025), Square's **completely debt-free balance sheet** represents an extraordinary competitive shield. While peers like Renata PLC and ACI carry significant financing costs, Square deploys 100% internally generated cash flows into R&D, capacity

expansion, and shareholder returns — a structural advantage that is chronically undervalued by the market.

③ **Accelerating Export Revenue & Global Regulatory Wins** Export revenue grew to approximately **BDT 2.53 Billion** (FY2024), with distribution networks across **50+ countries** in Asia, Africa, Latin America, and Australia. Regulatory approvals from the UK-MHRA and select US FDA lines (for contract manufacturing) open significant long-term growth runways into developed-market generics — a strategic optionality not yet priced into the current multiple.

④ **Deep Value at a 7.5x P/E Relative to 10%+ CAGR Earnings Growth** Square currently trades at **7.5x trailing P/E**, a stark discount to peer Renata PLC (~21x) and even the broader DSEX pharmaceutical sector average. With FY2025 net earnings of BDT 23.97 Billion (up 14.5% YoY) and a sustainable 10%+ earnings CAGR, the stock offers an asymmetric risk-reward profile for medium-term investors.

2. COMPANY OVERVIEW

Square Pharmaceuticals PLC was founded in 1958 and listed on the Dhaka Stock Exchange (DSE). It is Bangladesh's largest pharmaceutical company by revenue, market capitalization, and domestic market share.

Business Model

The company operates an integrated pharmaceutical manufacturing and marketing model across four key segments:

Business Segment	Description
Human Pharmaceuticals	Generic formulations across therapeutic categories (antibiotics, cardiovascular, CNS, oncology, respiratory)
API Manufacturing	Active Pharmaceutical Ingredients for captive consumption and third-party supply
Animal Health & Agrovet	Veterinary drugs and agricultural inputs
Export Division	Regulated and unregulated market exports to 50+ countries

Competitive Moat

- **Scale:** Largest manufacturing capacity among Bangladeshi pharma firms

- **Regulatory:** UK-MHRA and partial USFDA approvals for select product lines
- **Distribution:** Deepest distribution network reaching rural upazila health facilities
- **Brand Trust:** 40+ years of dominant brand equity with healthcare professionals
- **WTO TRIPS Benefit:** Bangladesh LDC status exempts companies from patent restrictions until 2033, allowing unrestricted generic manufacturing of patented molecules at zero royalty cost

3. FINANCIAL STATEMENTS SUMMARY

3.1 Income Statement (Condensed Standalone — BDT in Millions)

Line Item	FY2022–23	FY2023–24	FY2024–25E	Growth (FY25E)
Net Revenue	58,419	59,795	76,290	+27.6%
Cost of Goods Sold (COGS)	(31,042)	(32,527)	(41,597)	—
Gross Profit	27,377	27,268	34,693	+27.2%
Gross Profit Margin	46.9%	45.6%	45.5%	—
Operating Expenses (SGA+RD)	(12,900)	(13,785)	(16,000)	—
Operating Profit (EBIT)	14,477	13,483	18,693	+38.6%
Other Income / Finance Income	2,993	6,405	6,890	—
Profit Before Tax (PBT)	17,470	19,888	25,583	+28.6%
Tax (Effective ~21.6%)	(3,000)	(4,297)	(5,626)	—
Net Profit After Tax (NPAT)	16,470	15,591	23,970	+53.8%
EPS (BDT)	18.58	17.59	**29.18**	+65.9%
Dividend Per Share (BDT)	10.50	11.00	12.00E	+9.1%

> **Note on FY2024 Profit Dip:** The modest NPAT decline in FY2024 (-5.3%) was a deliberate strategic action — Square transferred several product lines to its wholly-owned subsidiary **Square Lifesciences Ltd.**, compressing standalone earnings. Consolidated EPS grew +10.3% to BDT 23.61 in the same period, confirming underlying business health.

3.2 Balance Sheet Highlights (Standalone — BDT in Millions)

Item	FY2023–24
Total Assets	~135,000
Fixed Assets (Net PP&E)	~52,000
Cash & Liquid Investments	~38,000
Total Liabilities	~29,500
Bank Borrowings	**BDT 0 (Debt-Free)**
Total Shareholders' Equity	~105,500
NAV Per Share	BDT 119.35
P/B Ratio (at CMP BDT 219)	1.84x

3.3 Key Financial Ratios & Comparative Analysis

Ratio	SQURPHARMA	Renata PLC	Beximco Pharma	Sector Avg
P/E Ratio (Trailing)	**7.5x** ✅	21.5x	10.5x	~13x
P/B Ratio	1.84x	3.6x	1.1x	~2.0x
Gross Margin	45.6%	52.1%	38.4%	~44%
Net Profit Margin	26.1%	19.8%	11.2%	~19%
Dividend Yield	**5.0%** ✅	1.1%	4.0%	~2.5%
Bank Debt	**Zero** ✅	High	Moderate	—
Credit Rating	**AAA** ✅	AA	AA+	—
Revenue CAGR (5-Year)	~10%	~12%	~8%	~10%

TIP

Analyst's Read: Square's 7.5x trailing P/E against Renata's 21.5x — with comparable gross margins and a *superior* net margin and balance sheet — represents a **deep value discount** that the market has not corrected. The primary reason: a large portion of institutional investors

> underweigh SQURPHARMA due to its conservative, non-leveraged growth model in a market that often rewards aggressive balance sheet expansion.

4. VALUATION — DCF & RELATIVE MULTIPLES

4.1 Discounted Cash Flow (DCF) Valuation

Key Assumptions:

- **Revenue CAGR (FY2026E–FY2030E):** 10.0% per annum (conservative, in line with 5-year historical average)
- **Net Profit Margin:** 26–28% (held steady; debt-free status prevents interest cost expansion)
- **Free Cash Flow (FCF) Conversion:** 90% of NPAT (Square has historically high operating cash flow conversion)
- **Discount Rate (WACC):** 12.5% (risk-free rate: Bangladesh 10Y T-bond ~8.5% + equity risk premium ~4%)
- **Terminal Growth Rate (g):** 5.0% (conservative; Bangladesh pharma sector mid-cycle)
- **Shares Outstanding:** 886.45 million

Year	Revenue (BDT Mn)	NPAT (BDT Mn)	FCF (BDT Mn)	PV of FCF (BDT Mn)
FY2026E	83,919	23,498	21,148	18,798
FY2027E	92,311	25,847	23,262	18,384
FY2028E	101,542	28,432	25,589	17,957
FY2029E	111,696	31,275	28,148	17,541
FY2030E	122,866	34,403	30,963	17,131
Terminal Value (TV)	—	—	—	**113,290**
Enterprise Value (Intrinsic)	—	—	—	**203,101**
Intrinsic Value Per Share	—	—	—	**BDT 229**

4.2 Relative / Comparable Multiples Valuation

Using a blended peer median P/E of **10.5x** (applying a slight discount to sector average of 13x to reflect Square's conservative growth model, but a significant premium to its own 7.5x to account for balance sheet quality and AAA rating):

Method	Multiple Applied	EPS Used	Implied Value
P/E (Peer Median — Conservative)	10.5x	BDT 29.18 (FY2025)	**BDT 306**
P/E (Sector Average)	13.0x	BDT 29.18	**BDT 379**
P/B (Justified)	2.1x	NAV BDT 119.35	**BDT 251**
Dividend Discount Model (DDM)	Gordon Growth (g=5%)	DPS BDT 12E	**BDT 171**

4.3 Blended Target Price

Valuation Method	Implied Price	Weight
DCF (Intrinsic)	BDT 229	40%
P/E Multiple (Peer Median)	BDT 306	35%
P/B Multiple	BDT 251	25%
Blended Target Price	**BDT 265**	100%

→ 12-Month Target Price: BDT 265 | Upside from CMP (BDT 219): +21.0% | Recommendation: BUY

5. INVESTMENT CATALYSTS (12-Month Horizon)

Catalyst	Expected Timing	Impact
Subsidiary Reintegration or Upstreaming: Square Lifesciences product lines contributing to standalone earnings growth	FY2026	**High**
Export Revenue Acceleration: Regulatory approvals for new markets (EU contract manufacturing, expanded Africa presence)	6–18 months	**High**
Dividend Increase: With zero debt and BDT 38B+ cash, special dividend or increased payout is likely	FY2026 Annual Results	**Medium-High**
WTO TRIPS Extension: LDC status exemption likely extended beyond 2033, maintaining Bangladesh's generic advantage	Ongoing	**Medium**
API Import Substitution: Bangladesh pharma industry push to domestically produce APIs reduces input cost risks for all players, benefiting Square's already-strong margins	2027–2028	**Medium**

6. KEY RISKS TO OUR THESIS

> WARNING
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> **Risks to Monitor** The following factors could cause the stock to underperform our 12-month target price:

Risk Factor	Severity	Mitigant
BDT Depreciation Risk: A sharp fall in the Bangladeshi Taka vs. USD would raise API import costs (APIs are typically USD-denominated), squeezing gross margins	Medium	Square's strong cash reserves provide buffer; some export USD earnings provide a natural hedge
Regulatory Risk (BSEC / FDA): Failure to obtain or maintain key international market regulatory approvals	Medium	Existing MHRA approvals, ISO certifications, and 40+ years of compliance track record
Concentration Risk: Domestic market generates ~96% of revenue; macro slowdown in Bangladesh directly impacts growth	Medium	Export diversification is an active strategic priority
Competitive Pressure: Aggressive pricing by Incepta (17% market share growth) or other generics manufacturers	Low-Medium	Square's brand equity, distribution depth, and product breadth provide durable moat
Political / Macro Uncertainty: Bangladesh political climate and forex reserve pressure can dampen investor sentiment	Low-Medium	Structural healthcare demand is defensive; pharma sector is generally recession-resistant

7. CONCLUSION — INVESTMENT CASE SUMMARY

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│                  INVESTMENT CASE: SQURPHARMA                     │
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│  ✅ #1 market leader for 40 consecutive years (17.3% market share)  │
│  ✅ ZERO bank debt — unique financial fortress in a high-rate environment  │
│  ✅ AAA-rated by CRISL — highest possible credit quality            │
│  ✅ 5.0% dividend yield + 21% price upside = exceptional total return  │
│  ✅ Traded at 7.5x P/E — 65% discount to peer Renata PLC at 21.5x   │
│  ✅ 10%+ revenue CAGR sustainable on domestic + export trajectory   │
│  ⚠️  FX and API input cost risk (manageable via cash reserves)      │
│  ⚠️  Concentration in domestic market (export diversification ongoing) │
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│  RATING: BUY   |   TARGET: BDT 265   |   UPSIDE: +21.0%          │
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Square Pharmaceuticals PLC is one of the most financially sound, defensively positioned, yet chronically undervalued large-cap equities on the Dhaka Stock Exchange. Its AAA credit rating, debt-free balance sheet, 40-year market leadership, 5% dividend yield, and deep discount to pharma

peers collectively present a compelling risk-adjusted investment case. We initiate coverage with a **BUY** recommendation and a 12-month target price of **BDT 265**.

8. DISCLOSURES & METHODOLOGY NOTE

Item	Detail
Analyst	Abu Ishak, B.Sc. Statistics (Jagannath University)
Report Purpose	Equity Research Portfolio Sample — Capital Market Career Application
Data Sources	Square Pharmaceuticals PLC Annual Report FY2024, DSE Market Data, BSEC Financial Disclosures, CRISL Credit Rating Report, Peer company public filings
Valuation Models Used	Discounted Cash Flow (DCF), Comparable P/E Multiples, Price-to-Book (P/B), Gordon Growth DDM
Report Limitation	Forward projections involve inherent uncertainty. This report does not constitute a solicitation or offer to buy or sell any security.

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